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Kingdee International

Revising our model after 1H26 results; stay OW

Kingdee's 1H26 was solid enough — but the longer-term AI question is now harder to ignore. Revenue grew 14% y/y and the company turned profitable at RMB54m (vs. -RMB98m a year ago), broadly in-line with its pre-announcement. AI-native products appear to be gaining early traction, but contribution remains modest at this stage (8% of revenue). We keep near-term earnings estimates largely unchanged, but lower our DCF-based PT to HK\$12.0, driven by more conservative out-year revenue growth and terminal growth assumptions. The key issue is not 1H execution, but whether AI accelerates Kingdee's TAM expansion or, conversely, disrupts ERP pricing, product cycles, and long-term software economics before monetization becomes material. Our revised PT implies ~3.5x forward EV/revenue, a ~30% discount to global ERP leaders such as Oracle and SAP at c.5x, which we view as fair given the relatively lower profitability and demand cyclicality of the China SaaS/software industry. Within China software, we still prefer Kingdee (OW), given better growth visibility, stronger margin potential, and a cheaper valuation at 3x EV/revenue vs. Yonyou's 4x.

- **Recapping 1H26.** Kingdee's revenue grew +14% y/y to Rmb3.6bn, with cloud services revenue up 17% to Rmb3.1bn and subscription revenue up 20% to Rmb2.0bn. Subscription ARR increased 18% y/y to Rmb4.4bn. Profitability was the clear bright spot: gross margin expanded by 210bps y/y to 67.7%, while adjusted net profit turned positive for the first time in 1H since 2019. Operating cash flow also improved materially to a Rmb142m inflow from a Rmb18m outflow in 1H25. Operating efficiency continued to improve, with OPEX only up 5% y/y (vs. revenue up 14%). Out of which, S&M and R&D expenses as a percentage of revenue declined by 290bps and 200bps y/y, respectively.
- **AI momentum is encouraging, but core SaaS remains mixed.** AI-native product revenue increased 189% y/y to Rmb296m (c.8% of total revenue), showing encouraging early traction for Kingdee AI Suite and Lingee. The AI +SaaS (new disclosure: AI Constellation, AI Galaxy, AI Stellar, etc.) grew only 10% y/y to HK\$2.8B, with large and medium-sized enterprise subscriptions up 9% and SME's up 15% y/y. In our view, AI is opening up incremental monetization opportunities. But given the relatively small revenue contribution, we think investors will be focused on whether stronger AI adoption can drive a broader re-acceleration in Kingdee's core enterprise SaaS business.
- **Estimates and Valuation.** While our near-term estimates remain largely unchanged, we cut our DCF-based PT to HK\$12.0 (from \$18.0) with a new Dec-27 timeframe (table 3), driven by more conservative out-year revenue growth and terminal growth assumptions. Our revised PT implies ~3.5x forward EV/revenue, a ~30% discount to global ERP leaders such as Oracle and SAP at c.5x, which we view as fair given the relatively lower profitability and demand cyclicality of the China SaaS/software industry. Within China software, we still prefer Kingdee (OW), given better growth visibility, stronger margin potential, and a cheaper valuation at 3x EV/revenue vs. Yonyou's 4x.

Overweight

0268.HK, 268 HK
Price (11 Aug 26): HK\$8.99

▼ **Price Target (Dec-27): HK\$12.00**
Prior (Dec-26): HK\$18.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	0.17	0.15	-12.0%
Adj. EPS - 27E (Rmb)	0.28	0.25	-8.0%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	95	94	95	96	94
Growth	6	10	9	88	86
Momentum	89	59	5	81	95
Quality	86	91	91	94	94
Low Vol	94	94	94	90	82
ESGQ	6	7	5	3	1

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	-32.4%	28.8%	-1.5%	-48.5%
Rel	-32.5%	22.7%	1.3%	-51.5%

Company Data

Shares O/S (mn)	3,276
52-week range (HK\$)	18.15-5.63
Market cap (\$ mn)	3,754
Exchange rate	7.85
Free float (%)	74.7%
3M ADV (mn)	53.99
3M ADV (\$ mn)	51.7
Volatility (90 Day)	70
Index	HSI
BBG ANR (Buy Hold Sell)	28 1 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	7,006	7,865	8,846	9,936
Adj. EBIT	(42)	342	778	1,285
Adj. EBITDA	712	1,133	1,608	2,156
Adj. net income	198	533	914	1,309
Adj. EPS	0.06	0.15	0.25	0.37
BBG EPS	0.03	0.12	0.21	0.29
Cashflow from operations	1,097	1,608	2,078	2,605
FCFF	498	1,112	1,562	2,066
Margins and Growth				
Revenue Growth Y/Y (%)	12.0%	12.3%	12.5%	12.3%
EBIT margin	(0.6%)	4.3%	8.8%	12.9%
EBIT Growth Y/Y (%)	(87.4%)	(911.5%)	127.8%	65.2%
EBITDA margin	10.2%	14.4%	18.2%	21.7%
EBITDA Growth Y/Y (%)	104.2%	59.1%	41.9%	34.1%
Net margin	2.8%	6.8%	10.3%	13.2%
Adj. EPS growth	(444.1%)	169.0%	71.5%	43.3%
Ratios				
Adj. tax rate	88.5%	6.4%	11.5%	16.6%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	2.4%	6.3%	10.2%	13.1%
Valuation				
FCFF yield	1.8%	4.0%	5.6%	7.5%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	3.5	3.0	2.5	2.0
EV/EBITDA	34.6	20.8	13.8	9.4
Adj. P/E	140.0	52.0	30.3	21.2

Summary Investment Thesis and Valuation

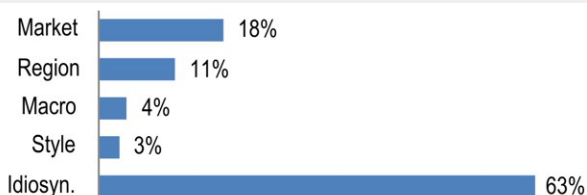
Investment Thesis

We believe the market still under-appreciates Kingdee's resilient cloud momentum – especially against poor trends at Yonyou – and what we view as a clearer path to profits. We thus remain OW on Kingdee, which we view as the best play to ride on twin policy tailwinds from Digital China (boosting TAM for China ERP) and Xinchuang localization (boosting its market share therein, especially for large enterprises and SOEs), underpinned by its strong products and positioning, as well as solid execution.

Valuation

Our Dec-27 PT of HK\$12 is based on a DCF analysis, assuming a 10.5% WACC and 2.5% terminal growth. Our PT implies a 3-4x forward EV/sales, which we believe is reasonable given the de-rating of global software peers.

Performance Drivers



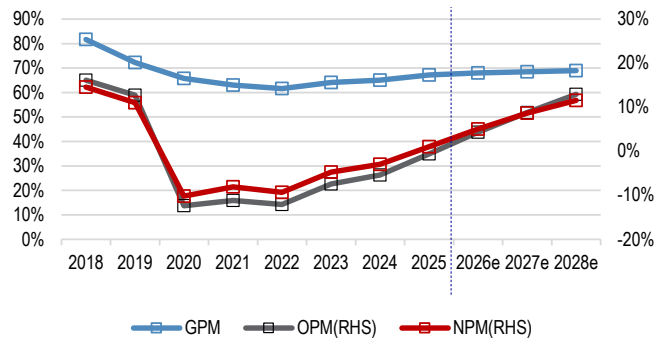
Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.48	0.43
Region: China	0.35	0.37
Macro:		
Emerging Central Bank Rate	-0.19	-0.13
JPM China A-shares Sentiment	0.03	0.12
US 10 Year Yield	0.05	-0.12
Quant Styles:		
LowVol	-0.20	-0.21
Value	-0.14	-0.16
DivYld	-0.04	-0.15

Table 1: Kingdee: Semi-annual results summary – Financials

(RMB mn)	1H21	2H21	1H22	2H22	1H23	2H23	1H24	2H24	1H25	2H25	1H26	1H26	
												Y/Y %	H/H %
Revenues	1,872	2,302	2,197	2,669	2,566	3,113	2,870	3,386	3,192	3,814	3,625	14%	(5%)
YoY %	35%	17%	17%	16%	17%	17%	12%	9%	11%	13%	14%	+2.3%pt	+0.9%pt
Cloud service	1,238	1,520	1,677	2,037	2,039	2,466	2,389	2,717	2,673	3,109	3,116	17%	0%
YoY %	55%	36%	35%	34%	22%	21%	17%	10%	12%	14%	17%		
ERP & others	634	782	519	633	527	647	481	668	520	704	509	(2%)	(28%)
YoY %	8%	(9%)	(18%)	(19%)	2%	2%	(9%)	3%	8%	5%	(2%)		
(CoGS)	(698)	(842)	(866)	(1,002)	(977)	(1,058)	(1,055)	(1,130)	(1,097)	(1,205)	(1,170)	7%	(3%)
Gross profit	1,174	1,459	1,331	1,667	1,589	2,055	1,815	2,255	2,095	2,609	2,456	17%	(6%)
YoY %	32%	11%	13%	14%	19%	23%	14%	10%	15%	16%	17%		
GPM %	62.7%	63.4%	60.6%	62.4%	61.9%	66.0%	63.2%	66.6%	65.6%	68.4%	67.7%	+2.1%pt	-0.7%pt
(OPEX)	(1,720)	(1,671)	(1,982)	(1,844)	(2,125)	(2,124)	(2,280)	(2,276)	(2,385)	(2,482)	(2,508)	5%	1%
As % of revenue	91.9%	72.6%	90.2%	69.1%	82.8%	68.2%	79.5%	67.2%	74.7%	65.1%	69.2%	-6%pt	+4%pt
(S&M)	(888)	(854)	(1,050)	(977)	(1,142)	(1,177)	(1,225)	(1,278)	(1,264)	(1,462)	(1,330)	5%	(9%)
As % of revenue	47.4%	37.1%	47.8%	36.6%	44.5%	37.8%	42.7%	37.8%	39.6%	38.3%	36.7%	-2.9%pt	-2%pt
Staff costs	(573)	(624)	(697)	(634)	(711)	(692)	(762)	(685)	(726)	(743)	(722)		
YoY %	30%	12%	22%	2%	2%	9%	7%	(1%)	(5%)	8%	(0%)		
A&P	(220)	(160)	(260)	(274)	(331)	(404)	(362)	(513)	(440)	(640)	(513)	17%	(20%)
YoY %	8%	112%	18%	71%	27%	47%	9%	27%	21%	25%	17%		
Other S&M	(95)	(69)	(93)	(69)	(100)	(81)	(100)	(80)	(99)	(82)	(96)	(3%)	17%
YoY %	18%	3%	(1%)	(0%)	8%	18%	(0%)	(1%)	(1%)	2%	(3%)		
(R&D)	(625)	(560)	(698)	(597)	(744)	(696)	(807)	(708)	(776)	(719)	(809)	4%	13%
As % of revenue	33.4%	24.3%	31.8%	22.4%	29.0%	22.3%	28.1%	20.9%	24.3%	18.9%	22.3%	-2.0%pt	+3.5%pt
R&D costs incurred	(668)	(592)	(795)	(663)	(829)	(681)	(852)	(664)	(779)	(646)	(798)	2%	24%
Staff cost	(639)	(546)	(769)	(619)	(806)	(633)	(832)	(604)	(753)	(579)	(758)		
YoY %	73%	22%	20%	13%	5%	2%	3%	(5%)	(9%)	(4%)	1%		
Other R&D	(19)	(57)	(17)	(53)	(23)	(47)	(20)	(60)	(25)	(67)	(40)	57%	(41%)
Less: R&D capitalised	229	195	249	231	271	208	286	198	261	185	267	2%	45%
As % of R&D incurred	34%	33%	31%	35%	33%	30%	34%	30%	33%	29%	34%	+0%pt	+5%pt
Add: amortization	(186)	(163)	(152)	(165)	(186)	(222)	(241)	(242)	(258)	(258)	(279)	8%	8%
(Admin)	(208)	(258)	(234)	(270)	(239)	(251)	(249)	(290)	(346)	(301)	(368)	6%	22%
As % of revenue	11.1%	11.2%	10.7%	10.1%	9.3%	8.1%	8.7%	8.6%	10.8%	7.9%	10.2%	-0.7%pt	+2.3%pt
Salaries and staff welfare	(159)	(168)	(188)	(173)	(191)	(146)	(204)	(172)	(280)	(178)	(286)		
YoY %	2%	36%	18%	3%	2%	(16%)	7%	18%	37%	4%	2%		
Bad debt provision	0	0	0	0	0	0	0	0	0	0	0		
Other admin	(48)	(90)	(46)	(97)	(48)	(105)	(45)	(118)	(66)	(123)	(83)	25%	(33%)
YoY %	45%	(11%)	(4%)	8%	4%	9%	(6%)	12%	46%	4%	25%		
Other income/(expense)	191	100	198	43	148	37	148	2	115	6	56	(51%)	918%
Net rental income	36	36	34	37	35	32	27	32	40	53	51	28%	(4%)
Government subsidy	23	57	56	38	77	24	76	15	83	80	42	(50%)	(48%)
VAT refund	75	84	63	67	59	70	59	81					
Others	58	(77)	45	(98)	(22)	(89)	(14)	(125)	(7)	(128)	(36)	419%	(71%)
Operating profit	(355)	(112)	(454)	(134)	(388)	(32)	(317)	(18)	(175)	133	4	(102%)	(97%)
YoY %	40%	(31%)	28%	19%	(14%)	(76%)	(18%)	(43%)	(45%)	(828%)	(102%)		
Net finance income	22	54	48	53	47	43	48	46	34	30	27	(19%)	(8%)
Income from associates	7	1	4	9	15	13	6	6	7	10	6	(10%)	(39%)
Profit before tax	(325)	(57)	(402)	(72)	(326)	24	(263)	34	(134)	173	38	(128%)	(78%)
(Income tax)	39	5	13	8	14	18	25	21	24	10	10	(58%)	(0%)
(Minority interest income)	38	(2)	32	31	28	31	21	22	11	8	6	(44%)	(18%)
Net profit after MI	(248)	(54)	(356)	(33)	(284)	74	(218)	76	(98)	191	54	(156%)	NM
YoY %	11%	(51%)	44%	(40%)	(20%)	(325%)	(23%)	3%	(55%)	152%	(156%)		
NPM %	(13.3%)	(2.4%)	(16.2%)	(1.2%)	(11.1%)	2.4%	(7.6%)	2.2%	(3.1%)	5.0%	1.5%	+4.6%pt	-3%pt
Non-IFRS adjustment :													
Add: SBC	55	52	61	54	41	56	43	42	51	54	35	(32%)	(36%)
As % of revenues	3.0%	2.3%	2.8%	2.0%	1.6%	1.8%	1.5%	1.2%	1.6%	1.4%	1.0%	-0.6%pt	-0.5%pt
Non-IFRS net profit	(193)	(2)	(295)	21	(243)	129	(175)	118	(47)	245	89	(291%)	NM
YoY %	43%	(94%)	53%	(1028%)	(18%)	512%	(28%)	(9%)	(73%)	108%	(291%)		
Non-IFRS NPM %	(10%)	(0%)	(13%)	1%	(9%)	4%	(6%)	3%	(1%)	6%	2%	+3.9%pt	NM

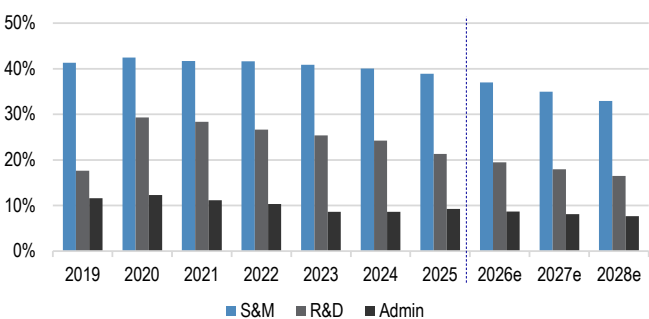
Source: Company data.

Figure 1: Kingdee: Gross and operating margins



Source: Company data and J.P. Morgan estimates.

Figure 2: Kingdee: Opex trend as a % of revenues



Source: Company data and J.P. Morgan estimates.

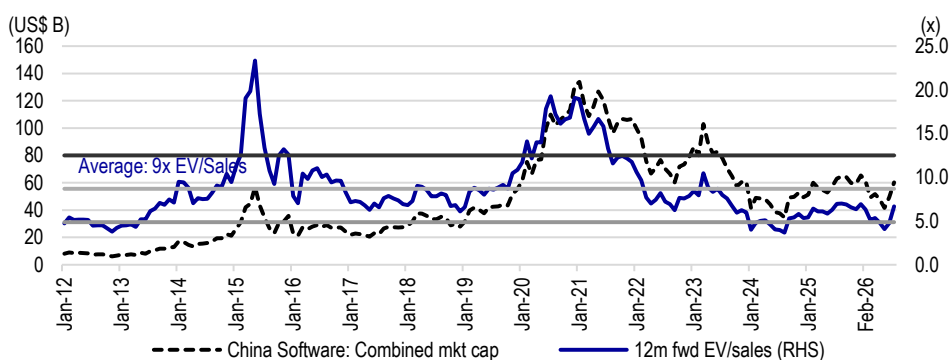
Table 2: Kingdee: P&L and our forecasts

(RMB mn)	2022	2023	2024	1H25	2H25	2025	1H26	2H26e	2026e	2027e	2028e
Revenues	4,866	5,679	6,256	3,192	3,814	7,006	3,625	4,240	7,865	8,846	9,936
YoY %	17%	17%	10%	11%	13%	12%	14%	11%	12%	12%	12%
(CoGS)	(1,868)	(2,035)	(2,185)	(1,097)	(1,205)	(2,302)	(1,170)	(1,347)	(2,517)	(2,786)	(3,080)
Gross profit	2,998	3,644	4,071	2,095	2,609	4,704	2,456	2,892	5,348	6,059	6,856
YoY %	14%	22%	12%	15%	16%	16%	17%	11%	14%	13%	13%
GPM %	61.6%	64.2%	65.1%	65.6%	68.4%	67.1%	67.7%	68.2%	68.0%	68.5%	69.0%
(S&M)	(2,027)	(2,320)	(2,503)	(1,264)	(1,462)	(2,726)	(1,330)	(1,580)	(2,910)	(3,090)	(3,272)
YoY %	16%	14%	8%	3%	14%	9%	5%	8%	7%	6%	6%
As % of revenue	41.6%	40.8%	40.0%	39.6%	38.3%	38.9%	36.7%	37.3%	37.0%	34.9%	32.9%
(R&D)	(1,295)	(1,440)	(1,514)	(776)	(719)	(1,494)	(809)	(724)	(1,533)	(1,586)	(1,641)
YoY %	9%	11%	5%	(4%)	2%	(1%)	4%	1%	3%	3%	3%
As % of revenue	26.6%	25.4%	24.2%	24.3%	18.9%	21.3%	22.3%	17.1%	19.5%	17.9%	16.5%
(Admin)	(504)	(490)	(539)	(346)	(301)	(647)	(368)	(313)	(681)	(718)	(759)
YoY %	8%	(3%)	10%	39%	4%	20%	6%	4%	5%	5%	6%
As % of revenue	10.4%	8.6%	8.6%	10.8%	7.9%	9.2%	10.2%	7.4%	8.7%	8.1%	7.6%
Other income/(expense)	241	185	150	115	6	121	56	61	117	113	101
Operating profit	(587)	(420)	(335)	(175)	133	(42)	4	337	342	778	1,285
YoY %	26%	(29%)	(20%)	(45%)	(828%)	(87%)	(102%)	154%	(912%)	128%	65%
OPM %	(12.1%)	(7.4%)	(5.4%)	(5.5%)	3.5%	(0.6%)	0.1%	8.0%	4.3%	8.8%	12.9%
Net finance income	100	90	94	34	30	64	27	38	65	67	67
Income from associates	13	29	12	7	10	18	6	12	18	19	20
Profit before tax	(474)	(301)	(230)	(134)	173	39	38	387	425	864	1,372
(Income tax)	22	31	45	24	10	35	10	(37)	(27)	(100)	(228)
(Minority interest income)	63	60	42	11	8	19	6	13	19	18	17
Net profit after MI	(389)	(210)	(142)	(98)	191	93	54	363	417	783	1,162
YoY %	29%	nm	(32%)	(55%)	152%	(165%)	(156%)	90%	349%	88%	48%
NPM %	(8.0%)	(3.7%)	(2.3%)	(3.1%)	5.0%	1.3%	1.5%	8.6%	5.3%	8.9%	11.7%
Non-IFRS adjustment :											
Add: SBC	115	96	85	51	54	105	35	81	116	131	148
As % of revenue	2.4%	1.7%	1.4%	1.6%	1.4%	1.5%	1.0%	1.9%	1.5%	1.5%	1.5%
Non-IFRS net profit	(274)	(114)	(57)	(47)	245	198	89	444	533	914	1,309
YoY %	41%	nm	(50%)	(73%)	108%	(448%)	(291%)	81%	169%	72%	43%
Non-IFRS NPM %	(5.6%)	(2.0%)	(0.9%)	(1.5%)	6.4%	2.8%	2.5%	10.5%	6.8%	10.3%	13.2%

Source: Company data and J.P. Morgan estimates.

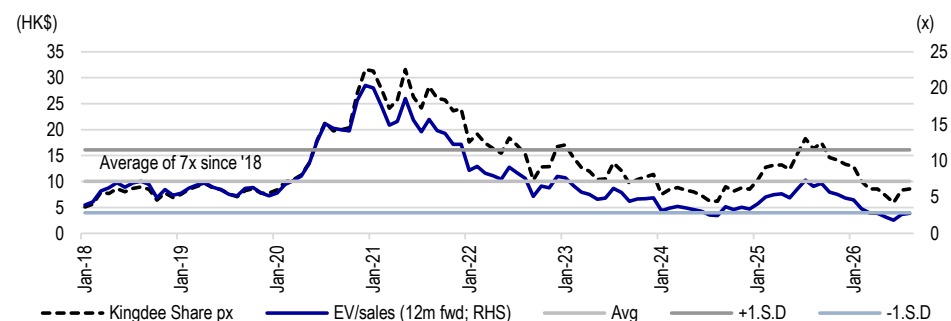
Valuations

Figure 3: China software: Historical EV/sales trends



Source: Bloomberg Finance L.P.

Figure 4: Kingdee Int'l: Historical EV/sales trends



Source: Bloomberg Finance L.P.

Table 3: Valuation comparison for China software/SaaS companies under J.P. Morgan coverage (priced as of 11 August 2026)

Company	Ticker	J.P. Morgan Price			MktCap (\$ B)	Share perf		EV/Sales (x)		P/E (x)		Sales growth (p.a.)			Margins ('26E)		% of sales ('25A)	
		Rating	PT	(local)		YTD	12M	26E	27E	26E	27E	'22-25	26E	27E	GPM	NPM	R&D	S&M
Kingdee	268 HK	OW	12.0	9.0	4.0	(32%)	(49%)	2.7	2.2	65.1	34.7	13%	12%	12%	68%	6%	22%	39%
JST	6687 HK	OW	37.0	14.7	0.8	(53%)	NA	1.3	0.7	13.0	11.3	30%	20%	17%	77%	36%	21%	35%
Yonyou	600588 CH	N	12.0	11.9	6.0	(10%)	(23%)	4.1	3.7	N.A.	N.A.	(0%)	6%	7%	50%	(6%)	23%	24%
Kingsoft Office	688111 CH	UW	130.0	261.4	18.0	(15%)	(11%)	16.8	14.1	39.8	44.4	16%	18%	19%	86%	51%	28%	19%
Glodon	002410 CH	N	14.0	9.5	2.3	(24%)	(29%)	1.9	1.8	20.5	16.9	(2%)	5%	6%	88%	12%	28%	28%
Average								5.4	4.5	34.6	26.8	11%	12%	12%	74%	20%	24%	29%

Source: Bloomberg Finance L.P. for share price data, J.P. Morgan estimates.

Table 4: Kingdee Int'l: Our DCF analysis (10.5% WACC, 2.5% terminal 'g')

(RMB m)	2028E	2029E	2030E	2031E	2032E	Terminal Value
Gross revenue	9,936	11,111	12,000	12,660	13,103	
YoY	12%	12%	8%	6%	4%	
Gross profit	6,856	7,700	8,352	8,837	9,172	
GPM (%)	69.0%	69.3%	69.6%	69.8%	70.0%	
(OPEX)	(5,672)	(5,930)	(6,138)	(6,318)	(6,504)	
YoY	5%	5%	4%	3%	3%	
As % of revenue	57%	53%	51%	50%	50%	
(S&M)	(3,272)	(3,449)	(3,587)	(3,694)	(3,805)	
(R&D)	(1,641)	(1,697)	(1,748)	(1,800)	(1,854)	
(G&A)	(759)	(784)	(804)	(824)	(845)	
Add: D&A, SBC & others	972	991	1,021	1,052	1,083	
EBITDA	2,156	2,762	3,235	3,570	3,752	
YoY	34%	28%	17%	10%	5%	
EBITDA margin	21.7%	24.9%	27.0%	28.2%	28.6%	
(Changes in working capital)	658	300	250	250	250	
(Capex on PPE & intangible)	(662)	(689)	(716)	(752)	(790)	
As % of revenue	7%	6%	6%	6%	6%	
(Income tax and others)	(142)	(183)	(217)	(241)	(256)	
Free cash flows (FCF)	2,010	2,190	2,552	2,827	2,956	37,743
PV of FCF	1,818	1,792	1,890	1,894	1,792	22,881
(RMB m)	Value	Comments				
Enterprise value	32,068	Sum of present values				
Net cash/(debt) & minority interest	7,555	End-2027E				
Equity value	39,623					
# of shares (Millions)	3,586					
Fair value per share (HK\$/share)	12.0					
EV/Revenue at PT 2026E	4.1x					
EV/Revenue at PT 2027E	3.6x					
Current price (HK\$/share)	9.0					
Upside %	33%					

Source: J.P. Morgan estimates. Priced as of 11 August 2026.

Investment Thesis, Valuation and Risks

Kingdee International (*Overweight; Price Target: HK\$12.00*)

Investment Thesis

We believe the market still under-appreciates Kingdee's resilient cloud momentum – especially against poor trends at Yonyou – and what we view as a clearer path to profits. We thus stay OW on Kingdee, which we view as the best play to ride on twin policy tailwinds from Digital China (boosting TAM for China ERP) and Xinchuang localization (boosting its market share therein, especially for large enterprises and SOEs), underpinned by its strong products and positioning, as well as solid execution.

Valuation

Our Dec-27 PT of HK\$12 is based on a DCF analysis, assuming a 10.5% WACC and 2.5% terminal growth. Our PT implies a 3-4x forward EV/sales, which we believe is reasonable given the de-rating of global software peers.

Risks to Rating and Price Target

Downside risks include: (1) potential de-rating from investor rotation out of the China software space; (2) slower-than-expected top-line growth amid macro headwinds; and (3) weaker-than-expected profitability due to Kingdee's aggressive investments in PaaS and large-enterprise strategy, which may not bring profits for some time.

Kingdee International: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E	Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Reported Revenue	6,256	7,006	7,865	8,846	9,936	Cash flow from operating activities	934	1,097	1,608	2,078	2,605
Adj. EBITDA	349	712	1,133	1,608	2,156	o/w Depreciation & amortization	599	649	676	699	723
EBITDA	264	607	1,018	1,477	2,009	o/w Changes in working capital	451	314	484	551	658
EBIT	(335)	(42)	342	778	1,285	Cash flow from investing activities	(1,074)	(607)	(557)	(575)	(595)
Non-Operating Income (expense)	12	18	18	19	20	o/w Capital expenditure	(191)	(137)	(150)	(150)	(150)
Net Interest	94	64	65	67	67	as % of sales	3.1%	2.0%	1.9%	1.7%	1.5%
PBT	(230)	39	425	864	1,372	Cash flow from financing activities	(1,291)	(321)	(51)	(51)	(51)
Tax	45	35	(27)	(100)	(228)	o/w Dividends paid	0	0	0	0	0
Minority Interest	42	19	19	18	17	o/w Shares issued/(repurchased)	-	-	-	-	-
Net Income	(142)	93	417	783	1,162	o/w Net debt issued/(repaid)	(572)	(200)	0	0	0
EPS	(0.04)	0.03	0.12	0.22	0.32	Net change in cash	(1,434)	165	996	1,448	1,955
Core EPS	(0.02)	0.06	0.15	0.25	0.37	Adj. Free cash flow to firm	(28)	498	1,112	1,562	2,066
DPS	0.00	0.00	0.00	0.00	0.00	y/y Growth	(94.9%)	(1871.8%)	123.4%	40.5%	32.2%
Payout Ratio	0.0%	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	3,545	3,586	3,586	3,586	3,586						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,081	2,407	3,403	4,851	6,806	EBITDA margin	5.6%	10.2%	14.4%	18.2%	21.7%
Accounts receivable	416	412	463	520	585	EBIT margin	(5.4%)	(0.6%)	4.3%	8.8%	12.9%
Inventories	46	61	67	74	82	Net profit margin	(0.9%)	2.8%	6.8%	10.3%	13.2%
Other current assets	2,089	2,943	3,104	3,287	3,491	ROE	(0.7%)	2.4%	6.3%	10.2%	13.1%
Current assets	5,632	5,823	7,036	8,732	10,963	ROA	(0.4%)	1.4%	3.5%	5.5%	7.1%
PP&E	1,744	1,874	1,900	1,915	1,916	ROCE	(5.6%)	(0.1%)	5.6%	10.9%	14.7%
LT investments	-	-	-	-	-	SG&A/Sales	48.6%	48.1%	45.7%	43.0%	40.6%
Other non current assets	6,405	6,889	6,778	6,680	6,593	Net debt/Equity	NM	NM	NM	NM	NM
Total assets	13,781	14,586	15,714	17,327	19,472	Net debt/EBITDA	NM	NM	NM	NM	NM
Short term borrowings	205	0	0	0	0	Sales/Assets (x)	0.4	0.5	0.5	0.5	0.5
Payables	1,488	1,757	1,921	2,127	2,351	Assets/Equity (x)	1.7	1.7	1.8	1.8	1.8
Other short term liabilities	3,787	3,880	4,417	5,011	5,720	Interest cover (x)	-	-	-	-	-
Current liabilities	5,480	5,638	6,338	7,138	8,072	Operating leverage	(198.6%)	(729.0%)	(7432.7%)	1025.3%	528.6%
Long-term debt	0	0	0	0	0	Tax rate	(19.8%)	88.5%	6.4%	11.5%	16.6%
Other long term liabilities	172	740	790	840	890	Revenue y/y Growth	10.2%	12.0%	12.3%	12.5%	12.3%
Total liabilities	5,652	6,377	7,128	7,978	8,961	EBITDA y/y Growth	99.0%	104.2%	59.1%	41.9%	34.1%
Shareholders' equity	8,050	8,207	8,603	9,385	10,564	EPS y/y Growth	(51.2%)	(444.1%)	169.0%	71.5%	43.3%
Minority interests	79	1	(18)	(36)	(53)						
Total liabilities & equity	13,781	14,586	15,714	17,327	19,472						
BVPS	2.27	2.29	2.40	2.62	2.95	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	(8.8%)	0.8%	4.8%	9.1%	12.6%	P/E (x)	NM	140.0	52.0	30.3	21.2
Gross debt	(1,464)	(2,667)	(2,667)	(2,667)	(2,667)	P/BV (x)	3.4	3.4	3.2	3.0	2.6
Net debt/(cash)	(4,546)	(5,074)	(6,070)	(7,519)	(9,474)	EV/EBITDA (x)	72.4	34.6	20.8	13.8	9.4
						Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Companies Discussed in This Report (all prices in this report as of market close on 11 August 2026, unless otherwise indicated)
Yonyou Network - A(600588.SS/Rmb11.92/N)

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Kingdee International (0268.HK, 268 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
18-Aug-23	OW	13.04	19
02-Apr-24	OW	8.83	13
18-Aug-24	OW	5.84	10
18-Mar-25	OW	15.14	17.5
12-Aug-25	OW	17.47	18

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jun 15, 2011. All share prices are as of market close on the previous business day.

Yonyou Network - A (600588.SS, 600588 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
29-Oct-23	N	16.14	16
28-Jan-24	UW	12.66	11
02-Apr-24	UW	12.78	10.5
28-Apr-24	N	11.75	11.5
25-Aug-24	N	8.38	10
04-Nov-24	N	10.91	9
30-Mar-25	N	15.42	13
27-Apr-25	N	13.70	12
08-Sep-25	N	14.75	14
22-Apr-26	N	12.20	12

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage May 31, 2021. All share prices are as of market close on the previous business day.

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